

freedom journey, I feel this constraint is in fact a very critical aid because it gets you into the habit of letting your money grow and multiply using tools like time leverage and compounding.

- You must invest a minimum of ₹500 in each financial year in a PPF account. In case you miss out on one financial year, you are penalized for the same.
- The maximum investment that can be done in a PPF account in one financial year is ₹1, 50,000/-. My suggestion to readers would be to reach this annual investment limit as soon as possible in the year since a PPF is one of the safest investment options. It also has extremely good returns, which are completely tax free.

Looking at the distinct advantages of a PPF account, especially for beginners, the above limitations seem to be trivial. In fact, limitations like a lock in period serve as a blessing in disguise to promote what I call the "amazing power of compounded money."

Benefits of investing in a PPF

- The money invested is perfectly safe.
- The investment earns a considerable interest (as compared to FDs and regular savings account). The interest rates may vary from year to year but generally are between 8 to 10%.
- All investments made in a PPF qualify for tax rebate under Section 80C of the IT Act.
- PPF investments are Exempt Exempt Exempt³⁰ (EEE) –the money you invest, the interest earned, and the final withdrawable amount – are all tax exempt. This actually leads to an effective interest rate which is much higher than FDs and other bank deposits where interest earned is taxable.

To conclude, a PPF investment is one of the safest investments and one of the best investment vehicles for any beginner on their journey to financial freedom. It gets you into compulsive habit of saving, and yields handsome, tax free, compounded returns. They score over fixed deposits or recurring deposits in terms of returns.